

THE STRONGHOLDS

- The largest chunk of installed cement capacity comes from south India
- The story of some players dominating in pockets is likely to continue

NORTH (128 MT)*

- Shree Cement
- UltraTech Cement
- ACC
- Wonder Cement
- JK Cement

CENTRAL (86 MT)*

- UltraTech Cement
- Birla Corporation
- ACC
- JK Cement
- Prism Johnson

WEST (83 MT)*

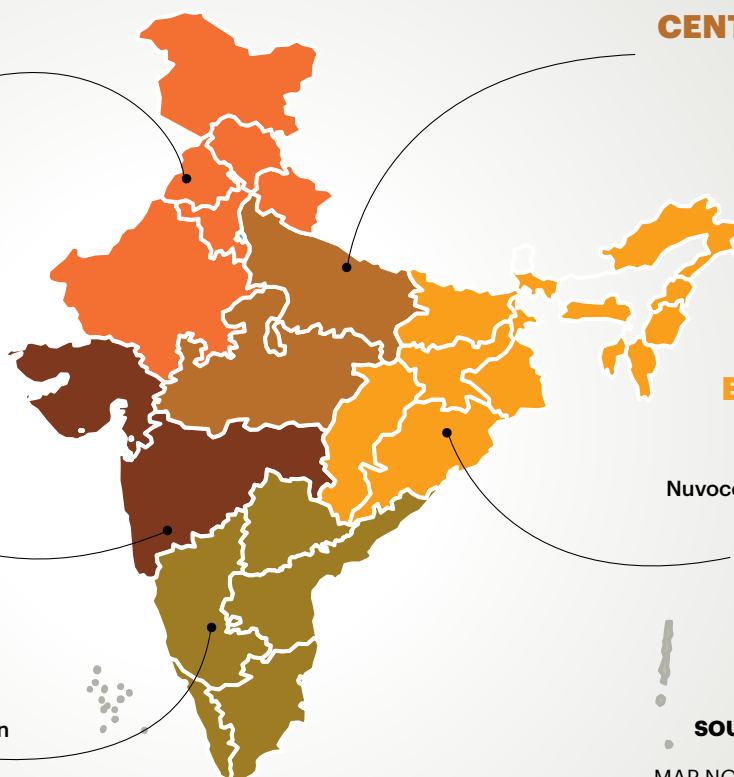
- UltraTech Cement
- Ambuja Cements

EAST (141 MT)*

- UltraTech Cement
- Dalmia Bharat
- Nuvoco Vistas Corporation
- Ambuja Cements
- Shree Cement

SOUTH (188 MT)*

- UltraTech Cement
- Ramco Cements
- Chettinad Cement Corporation
- India Cements
- Dalmia Bharat



NOTE *CAPACITY;
AS OF MARCH 2024
SOURCE ICRA RESEARCH

MAP NOT TO SCALE AND FOR
REPRESENTATION ONLY

under the Birla Opus brand is another benefit since it can complement its strong presence in cement.

THE RACE WILL INTENSIFY

Under Ambuja's new owner, the M&A story has been robust. Up against a more aggressive UltraTech, many assets are being looked at for potential deals. Both the big groups are looking at the South as a key hunting ground.

Rothschild's Ruparel points out that the sector follows a virtuous development cycle. Demand outstrips supply, giving manufacturers pricing power. Then follows a concentrated investment

73
PER CENT
ALL INDIA
UTILISATION
RATE OF
CEMENT
PLANTS

SOURCE ICRA
RESEARCH

in capacity, which creates an oversupply. Fringe players are eased out, and there is a burst of M&A or mergers and acquisitions. The market consolidates at higher prices. "M&A or consolidation is cyclical and tends to cluster depending on the state within the cycle. Though UltraTech's capacity is twice as much as that of Ambuja-ACC, there is an increased aggression in M&A demand for players with healthy capacities and market presence," he says.

Inevitably, valuations take off for good assets aided by money entering the capital markets.

Ajay Garg, MD of Equirus Capital, says, "As the growth outlook remains strong, we will see higher valuation metrics be-